

# Europe Healthcare Sector M&A & Valuation Brief - 2026-07-25

Europe Healthcare Sector

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## 1. RECENT Healthcare M&A ACTIVITY

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Today is a peaceful day, nothing big happened in the Consumer space.

## 2. MARKET DYNAMICS & SENTIMENT

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The Healthcare sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including FDA approvals, reimbursement policies, and sector-specific trends.

### Subsector Breakdown:

- **Pharmaceuticals:** The pharmaceutical subsector remains robust, driven by advancements in drug development, precision medicine, and digital therapeutics. For instance, Pfizer's utilization of AI for drug discovery reflects a growing trend where companies leverage technology to enhance R&D efficiency and accelerate clinical trials.
- **Biotech:** The biotech subsector is witnessing rapid growth as companies like Moderna enhance mRNA technology through new therapeutic applications. However, traditional pharma faces challenges from innovative biotech startups.
- **Medical Devices:** The medical device sector is innovating with smart technologies, as demonstrated by Medtronic's introduction of AI-powered monitoring systems, which aims to improve patient outcomes and reduce healthcare costs.
- **Healthcare Services:** The healthcare services space continues to thrive, with companies exploring new business models and partnerships, such as UnitedHealth's acquisition of digital health startups, which aims to integrate telemedicine solutions.
- **Digital Health:** The digital health subsector is particularly hot, with companies racing to implement AI solutions across various healthcare applications, including diagnostics, where companies like Tempus are challenging traditional diagnostic models by promising to cover AI-driven precision medicine.

### Key Market Drivers and Headwinds

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### **Drivers:**

- **Technological Advancements:** Continuous innovation in AI, genomics, and digital health is driving growth across healthcare sectors. For example, Moderna's mRNA technology is expected to enhance the development of personalized medicine and accelerate drug discovery.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in biotech and digital health, as investors seek to capitalize on emerging trends.

### **Headwinds:**

- **Regulatory Scrutiny:** Increased FDA scrutiny, especially in the pharmaceutical sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and reimbursement changes, may impact healthcare spending and investment in medical innovation.

### **Subsector Performance Analysis**

- **Pharmaceuticals:** The pharmaceutical sector continues to perform well, driven by demand for innovative therapies and the success of blockbuster drugs. Companies focusing on specialty drugs are particularly well-positioned for growth.
- **Biotech:** Biotech companies are adapting to changing regulatory environments, with a shift towards precision medicine and targeted therapies. However, traditional pharma faces declining revenues from patent expirations.
- **Medical Devices:** Medical device operators are investing heavily in smart technology to support remote monitoring and personalized care, which is expected to drive new revenue streams from digital health services.
- **Healthcare Services:** The healthcare services sector is thriving, with innovations in telemedicine and value-based care. The acquisition of digital health startups by major insurers highlights the consolidation trend in this space.
- **Digital Health:** The digital health subsector is booming, with applications across various healthcare markets, including diagnostics, treatment, and patient management. Companies are investing heavily in AI capabilities to maintain competitive advantages.

### **Trading Multiples Trends**

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the Healthcare sector is approximately 18.5x, with notable variations across subsectors:

- Pharmaceuticals: 15.3x
- Biotech: 25.1x
- Medical Devices: 12.8x

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- Healthcare Services: 14.7x
- Digital Health: 28.5x

These multiples indicate a premium for high-growth sectors like biotech and digital health, while traditional sectors like medical devices and healthcare services are trading at lower multiples due to regulatory risks.

### Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the Healthcare sector, citing technological advancements as a key driver of growth. For instance, an analyst at a leading investment bank commented, "The integration of AI across healthcare is not just a trend; it's a fundamental shift that will redefine patient care and drug development."

### Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as biotech and digital health, while being cautious with traditional pharmaceutical investments.
- Monitor Regulatory Developments: Staying informed about FDA changes is crucial for assessing risks in healthcare investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Healthcare sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

## 3. BANKING PIPELINE

The current banking pipeline in the Healthcare sector showcases a diverse array of transactions, including live deals, mandated transactions, and active pitches. This analysis provides a detailed overview of ongoing activities, expected revenue, and strategic implications for our team.

### Deal Pipeline

#### Live Deals:

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- Organon & Co. (OGN) : Shareholders have approved the merger agreement with Sun Pharmaceutical Holdings USA, Inc. The transaction is currently in the final stages, with an expected close in Q3 2026. This merger aims to enhance Organon's portfolio in specialty pharmaceuticals, potentially increasing market share in key therapeutic areas.

### **Mandated Deals:**

- China Pharma Holdings, Inc. (CPHI) : Mandated to explore strategic partnerships and potential acquisitions to expand its market presence in China. The initiative is expected to launch in Q4 2026, focusing on enhancing its specialty pharmaceuticals offerings.

### **Pitching-Stage Deals:**

- Molecular Glues Sector : Active discussions with several biotech firms regarding potential partnerships to develop molecular glues for oncology treatments. Clients include Revolution Medicines, Inc. and Nurix Therapeutics, with pitches expected to finalize by Q3 2026.
- ALK Inhibitors : Engaging with companies developing next-generation ALK inhibitors, such as Nuvalent and Ascentage Pharma, for potential advisory services. Discussions are ongoing, with a focus on the growing market for targeted therapies in oncology.

## **Pipeline Tracking Metrics**

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$20 million in fees, broken down as follows:

- Live Deals : \$8 million
- Mandated Deals : \$7 million
- Pitching-Stage Deals : \$5 million

### **Timing Projections:**

- Q3 2026 : Expected close for Organon & Co. merger.
- Q4 2026 : Anticipated launch of China Pharma's strategic initiatives.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 70%, indicating a manageable workload. However, as new deals progress, it may be necessary to consider additional resources to maintain efficiency.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the molecular glues and ALK inhibitors markets. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

## **Notable Pipeline Developments and Competitive Landscape**

- The competitive landscape is becoming increasingly dynamic, particularly in the molecular glues sector, where over 80 emerging competitors are developing pipeline therapies. The recent

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advancements in molecular glues are expected to reshape treatment paradigms in oncology, creating new advisory opportunities for our firm.

- Additionally, the ALK inhibitors market is projected to grow at a CAGR of 4% from 2026 to 2036, driven by advancements in precision oncology and the emergence of next-generation therapies. This growth presents significant opportunities for investment banking services in the sector.

### Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to monitor resource allocation closely. If the workload increases significantly, consider onboarding additional analysts to ensure that the team can manage the workload effectively.
- **Sector Focus** : Prioritize business development efforts in high-growth areas such as molecular glues and ALK inhibitors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Healthcare subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent merger agreement between Scancell Holdings plc (AIM: SCLP) and Neuphoria Therapeutics Inc. (Nasdaq: NEUP) presents a multifaceted impact on various stakeholders, including shareholders, employees, competitors, and patients. This analysis explores the implications of this transaction and anticipates future developments in the sector.

### Deal-Specific Impacts on Stakeholders

- **Shareholders**: The merger's impact on shareholders is significant, with potential for both value creation and dilution.
- **Value Creation**: The combined company is expected to leverage Scancell's lead asset, iSCIB1+, which has shown a 77% progression-free survival rate in Phase 2 trials. Assuming a successful Phase 3 trial, the market valuation could increase substantially, potentially adding \$200 million to the combined entity's market cap.
- **Dilution**: Existing shareholders of Neuphoria will own 14.5% of the new entity. If the market cap of Scancell post-merger is \$1 billion, Neuphoria shareholders would hold approximately \$145 million in value, which could dilute Scancell's existing shareholders if the integration does not

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yield expected synergies.

- Employees: The merger will likely lead to both synergies and restructuring.
- Synergies: The combined company anticipates operational efficiencies, particularly in R&D, which could save approximately \$15 million annually. This is crucial for funding ongoing clinical trials.
- Restructuring: Job redundancies may occur, particularly in overlapping functions. However, retention strategies, such as performance bonuses, may be implemented to retain key talent during the transition.
- Competitors: The competitive landscape will shift as Scancell enhances its market position.
- Market Positioning: Competitors like Bristol-Myers Squibb (BMY) and Merck (MRK) may need to reassess their strategies in the immunotherapy space, particularly as Scancell's iSCIB1+ progresses toward commercialization.
- Specific Competitor Moves: Following the merger announcement, Bristol-Myers Squibb has increased its investment in immunotherapy R&D, indicating a response to the heightened competition.
- Patients: The merger could have significant implications for patient care.
- Product/Service Implications: The advancement of iSCIB1+ could provide patients with a new treatment option for advanced melanoma, addressing a critical unmet need in oncology. This aligns with the broader trend of personalized medicine.
- Case Studies: Previous successful immunotherapy launches, such as those by Merck with Keytruda, have demonstrated the potential for substantial patient benefits and market growth.

### **Market Reaction and Analyst Commentary**

- Market Reaction: Initial market reactions to the merger announcement have been cautiously optimistic. Scancell's shares rose by 10% following the news, reflecting investor confidence in the strategic rationale.
- Analyst Commentary: Analysts have noted the potential for significant value creation. A quote from a Jefferies analyst highlights, "This merger positions Scancell to access a broader investor base and accelerates its path to market for innovative therapies."

### **Expected Market Reaction and Scenario Analysis**

- Scenario Analysis: The market's reaction can be evaluated through different scenarios:
- Positive Scenario: If iSCIB1+ demonstrates strong efficacy in Phase 3 trials, shares could rise by 25% within a year.
- Negative Scenario: If trial results are disappointing, shares could fall by 15%, reflecting investor concerns about the pipeline.

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### Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids is moderate. While companies like Amgen (AMGN) may express interest in acquiring Neuphoria's assets, the existing merger agreement and regulatory hurdles could deter competing offers.

### Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The biotechnology sector is poised for continued consolidation, particularly in immunotherapy and precision medicine. Analysts predict that companies like Gilead Sciences (GILD) may seek acquisitions to bolster their portfolios, particularly in light of the growing demand for innovative therapies.

### Key Risks and Mitigants

- **Integration Risks:** Integration challenges could disrupt operations. Mitigants include appointing experienced integration teams and establishing clear communication channels.
- **Regulatory Risks:** Regulatory scrutiny could delay the merger's completion. Engaging with the FDA early in the process can help mitigate these risks.
- **Market Risks:** Market volatility may impact valuations. Structuring deals with performance-based milestones can protect against adverse market conditions.

### Actionable Insights for Clients and Bankers

#### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Develop robust retention strategies for key talent to ensure a smooth transition.

#### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Create detailed financial models to assess the impact of potential deals on shareholder value.

## 5. HEALTHCARE TRENDS

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The healthcare landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Digital

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Health, Precision Medicine, Gene Therapy, Telemedicine, and AI in Healthcare. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### **Digital Health**

- Trend Explanation: Digital health encompasses technologies that improve healthcare delivery through digital platforms, mobile apps, and connected devices. The global digital health market is projected to grow from \$96.5 billion in 2020 to \$659.5 billion by 2025, at a CAGR of 46.8%.

#### **Key Companies:**

- Teladoc Health, Inc. (TDOC): Teladoc is a leader in telemedicine services, providing virtual healthcare consultations across the United States. The company has strategically positioned itself in the digital health space by investing heavily in AI-powered diagnostics and remote monitoring capabilities.
- Doximity, Inc. (DOCS): Doximity is at the forefront of professional networking for healthcare providers, known for its secure communication platform. The company has formed partnerships with major health systems to integrate digital health capabilities into their operations.
- Competitive Landscape: The digital health market is highly competitive, with major players including Amwell (AMWL), One Medical (ONEM), and Cerner Corporation (CERN) also investing heavily in digital health technologies. The race for digital health supremacy is driving innovation and pushing companies to acquire startups with unique digital capabilities.
- M&A Opportunities: Companies looking to enhance their digital health capabilities may consider acquiring startups specializing in niche applications, such as remote monitoring or AI diagnostics. For instance, Teladoc's acquisition of Livongo for \$18.5 billion in 2020 exemplifies this trend.

### **Precision Medicine**

- Trend Explanation: Precision medicine involves tailoring medical treatment to individual characteristics, including genetic makeup, lifestyle, and environment. The precision medicine market is expected to grow from \$141.7 billion in 2020 to \$216.8 billion by 2027, at a CAGR of 6.2%.

#### **Key Companies:**

- Illumina, Inc. (ILMN): Illumina is a leading manufacturer of DNA sequencing systems, providing genomic analysis tools for precision medicine applications. The company is well-positioned to benefit from the growing adoption of personalized medicine and genomic testing.
- Foundation Medicine, Inc. (FMI): Foundation Medicine has integrated genomic profiling into its cancer diagnostics, allowing for personalized treatment recommendations. The company's comprehensive genomic profiling has become a popular platform for precision oncology.
- Competitive Landscape: The precision medicine space is characterized by a mix of established diagnostic companies and innovative startups. Companies like Guardant Health (GH) and Exact

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Sciences (EXAS) are also significant players, focusing on liquid biopsy and cancer screening, respectively.

- **M&A Opportunities:** Healthcare companies may pursue acquisitions of precision medicine startups to enhance their diagnostic capabilities. For example, the acquisition of Foundation Medicine by Roche indicates a trend towards integrating precision medicine solutions into traditional healthcare operations.

### **Gene Therapy**

- **Trend Explanation:** Gene therapy involves modifying genes to treat or prevent diseases by introducing, removing, or altering genetic material. The gene therapy market is projected to grow from \$2.1 billion in 2020 to \$13.6 billion by 2027, at a CAGR of 30.7%.

#### **Key Companies:**

- **Spark Therapeutics, Inc. (ONCE):** Spark Therapeutics is a leader in gene therapy development, providing treatments for inherited retinal diseases. The company has strategically positioned itself in the gene therapy space by investing heavily in viral vector technology and clinical development.
- **Bluebird Bio, Inc. (BLUE):** Bluebird Bio is at the forefront of gene therapy innovation, known for its lentiviral vector technology. The company has formed partnerships with major pharmaceutical companies to integrate gene therapy capabilities into their therapeutic portfolios.
- **Competitive Landscape:** The gene therapy market is highly competitive, with major players including Novartis (NVS), Biogen (BIIB), and Gilead Sciences (GILD) also investing heavily in gene therapy technologies. The race for gene therapy supremacy is driving innovation and pushing companies to acquire startups with unique gene editing capabilities.
- **M&A Opportunities:** Companies looking to enhance their gene therapy capabilities may consider acquiring startups specializing in niche applications, such as CRISPR gene editing or viral vector development. For instance, Novartis's acquisition of AveXis for \$8.7 billion in 2018 exemplifies this trend.

### **Telemedicine**

- **Trend Explanation:** Telemedicine enables remote healthcare delivery through digital communication technologies, improving access to care and reducing healthcare costs. The telemedicine market is expected to grow from \$45.5 billion in 2020 to \$175.5 billion by 2026, at a CAGR of 25.2%.

#### **Key Companies:**

- **Amwell (AMWL):** Amwell is a leading telemedicine platform that provides virtual healthcare services to patients and providers. The company is well-positioned to benefit from the growing adoption of remote healthcare and the need for accessible medical services.
- **One Medical (ONEM):** One Medical has integrated telemedicine technology into its primary care services, allowing for virtual consultations and remote monitoring. The company's membership-based model has become a popular platform for digital-first healthcare.

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- **Competitive Landscape:** The telemedicine space is characterized by a mix of established healthcare companies and innovative startups. Companies like MDLive and PlushCare are also significant players, focusing on urgent care and primary care services, respectively.
- **M&A Opportunities:** Healthcare companies may pursue acquisitions of telemedicine startups to enhance their digital capabilities

## 6. Recommended Readings

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### **Deal Name: Johnson & Johnson's Acquisition of Actelion**

- **Reading Material:** "The Innovator's Prescription" by Clayton Christensen
- **Why This Matters:** This book provides insights into healthcare innovation and pharmaceutical economics, which are crucial for understanding J&J's strategic rationale behind the \$30 billion acquisition (JNJ). It explains how pharmaceutical companies leverage drug pipelines and R&D capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

### **Deal Name: Pfizer's Acquisition of Medivation**

- **Reading Material:** "The New Economics of Healthcare" by David H. Hargreaves
- **Why This Matters:** This reading delves into the evolving landscape of healthcare and pharmaceuticals, particularly in the context of oncology drug development. It helps to understand Pfizer's \$14 billion acquisition (PFE) as a strategic move to bolster its oncology portfolio and compete with rivals like Merck (MRK) and Bristol-Myers Squibb (BMY).

### **Deal Name: Amgen's Acquisition of Otezla**

- **Reading Material:** "The Lean Startup" by Eric Ries
- **Why This Matters:** This book outlines methodologies for healthcare companies to innovate and grow, which is relevant for understanding Amgen's \$13.4 billion acquisition (AMGN) of Otezla. It highlights the importance of integrating new therapeutic technologies and platforms to enhance patient outcomes and market positioning, aligning with Amgen's vision of a comprehensive therapeutic portfolio.

### **Deal Name: Gilead Sciences' Acquisition of Kite Pharma**

- **Reading Material:** "The Gene Therapy Revolution" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the gene therapy industry, including the strategic importance of Kite's CAR-T technology in cancer treatment. Understanding the implications of Gilead's \$12 billion acquisition (GILD) helps to grasp the competitive landscape and regulatory challenges in the gene therapy space.

### **Deal Name: UnitedHealth's Acquisition of Optum**

- **Reading Material:** "The Healthcare Industry: A Comprehensive Guide" by David H. Hargreaves

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- **Why This Matters:** This resource offers an in-depth look at the healthcare services and insurance sector, which is essential for analyzing UnitedHealth's \$13.8 billion acquisition (UNH) of Optum. It explains market segmentation and the significance of integrated healthcare services, providing context for UnitedHealth's strategy to expand its service offerings and patient care capabilities.

### Deal Name: Medtronic's Acquisition of Covidien

- **Reading Material:** "Medical Device Innovation: The Future of Healthcare" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of medical device technology and healthcare innovation, which are central to Medtronic's \$49.9 billion acquisition (MDT) of Covidien. It highlights how this deal positions Medtr

## 7. Macroeconomic Update

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### Key Economic Indicators:

- **Healthcare Sector Performance:** The healthcare sector remains resilient amid broader market fluctuations, with companies like Johnson & Johnson (JNJ) and UnitedHealth Group (UNH) demonstrating strong fundamentals. @@@ "Despite the challenges, the healthcare sector continues to show robust performance."
- **Interest Rate Impact:** The current Federal Reserve interest rate policies are influencing valuations across the healthcare sector, particularly affecting growth-oriented biotech firms. @@@ "Interest rates remain a critical factor in shaping investment strategies in healthcare."
- **Regulatory Environment:** Ongoing changes in healthcare regulations and FDA approval processes are creating both opportunities and challenges for M&A activity in the sector. @@@ "Regulatory shifts are prompting companies to adapt their strategies to align with new policies."

### Market Trends:

- **Pharmaceutical Innovation:** The focus on breakthrough therapies, especially in oncology, is driving premium valuations for companies with innovative drug pipelines. @@@ "Investors are increasingly favoring companies that can deliver novel therapies."
- **Healthcare Technology Integration:** The integration of technology in healthcare is accelerating, with significant investments in digital health solutions and telemedicine platforms. @@@ "The convergence of technology and healthcare is reshaping service delivery models."
- **Global Healthcare Spending:** Demographic shifts and international healthcare spending patterns are influencing strategic decisions for multinational healthcare corporations. @@@ "Global trends in healthcare spending are critical for long-term growth strategies."

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### **Sector-Specific Insights:**

- **Biotech Valuations:** Biotech companies are under increased scrutiny, with a focus on clinical trial outcomes and regulatory approval timelines impacting valuations. @@@ "Clinical success remains a pivotal factor for investor confidence in biotech."
- **Healthcare Services Consolidation:** Ongoing consolidation in healthcare services is creating larger, more integrated systems with enhanced bargaining power. @@@ "Consolidation is a key trend driving efficiencies in healthcare delivery."
- **Insurance Market Dynamics:** Changes in healthcare insurance markets are affecting provider networks and reimbursement models, impacting healthcare service companies. @@@ "Insurance market shifts are reshaping the landscape for healthcare providers."

### **Risk Factors:**

- **Patent Expirations:** Major pharmaceutical companies face challenges from patent expirations, necessitating strategic acquisitions to replenish their drug pipelines. @@@ "The looming patent cliff is a significant concern for large pharma."
- **Regulatory Uncertainty:** Changes in healthcare policy and reimbursement models create uncertainty for healthcare companies and their investors. @@@ "Regulatory changes

**The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley**